



he Cupertino-headquartered Apple Inc and its global supply chain are set to transform India's electronics manufacturing landscape. It is similar to what Maruti Suzuki did for automobiles in India by creating a new market. The launch of its first car triggered the development of an industrial ecosystem as suppliers followed, skills deepened, and scale was achieved.

Apple started assembling devices in India back in 2017, much before the government launched the Production Linked Incentive (PLI) Scheme to boost hi-tech manufacturing. The electronics PLI, started in 2020, acted as a catalyst. The Apple iPhone maker's contract manufacturers—Foxconn, Pegatron, Tata Electronics—today churn out around 55 million iPhones in India, accounting for 14% of its global production here, Apple's only production site outside China.

The scale of the change is striking. In 2025, Apple's iPhone was the single most valuable export from India (\$23 billion). In 2025, overall smartphone exports reached \$30 billion compared to \$24.14 billion in 2024, with iPhones accounting for 76% of the total.

Apple's outgoing CEO Tim Cook was instrumental in scaling Apple's operations in India and the country is expected to remain central to Apple's future growth under CEO designate John Ternus, who takes over from Cook on September 1.

It is important to clarify that in India what we understand as manufacturing is still generally the assembly of components. But the difference here is that companies such as Foxconn deliver a ready-to-use final product because they control and integrate the whole supply chain and not just the last step of putting the parts together. Local value addition in electronics, for example, is 15-20%. China, the world's electronics factory, is at 40%, a level India is targeting over the next few years.

To put the numbers in perspective, India's smartphone exports were almost non-existent in 2014 when the Make in India initiative was launched. The government started collecting data for smartphones separately in 2022. Consequently, smartphones have vaulted from India's 167th-ranked export item a decade ago to its single-largest export between 2015 and 2025. For comparison, smart TV and laptop manufacturing are less than \$10 billion each in India.

"The ecosystem build up does change when a large brand enters a market, and that's what we have seen when Apple came in," says Sunil Raina, Managing Director Lava International. He explains that global companies are now realising the India advantage. "Low costs, skilled manpower and government push with the PLI scheme." Lava International is a Noida-based home grown brand which makes both feature phones and smartphones.

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Apple is the defining product on this growth trajectory. Though, much like any new beginning, Apple's initial effort was modest, limited largely to the production of older models and serving the domestic market.

The global supply chain disruptions during the Covid-19 pandemic and geopolitical tensions pushed multinational companies to look at ways to reduce their dependence on China. Apple's China-plus-one strategy found fertile ground in India just as incentives were being rolled

40%

China's estimated local value addition. India will have to increase its value addition from 15-20% to become competitive

